

An example illustrates how this might work in practice. Consider two scenarios:

Easy Scenario

Advisor: “You have credit card debt and a large cash position. The interest you're earning on the cash is less than the interest expense on the credit card debt. You should pay off your credit card debt.”

Hard Scenario

Advisor: “So you're interested in investing in an index fund? All these funds will match the index returns, but some have been around for a long time and have managers who have established a reputation in the industry, and that kind of quality is really important for any investment product. You should be skeptical of funds with the lowest management fees, since these are going to be funds you've never heard of, with managers who aren't well established.”

What's that, you say? This example is unrealistic? Think no financial advisor would ever give advice this obviously bad?

Consider the MainStay S&P 500 Index Fund Class A mutual fund (ticker: MSXAX), for which the expense ratio is 60 basis points (as well as a 3 percent front-end load). Let's look at Morningstar's analysis of the past 10 years of its performance versus its index, the S&P 500 total return index, shown in [Table 5.1](#).

Table 5.1 MainStay S&P 500 Index Fund Performance as of December 5, 2014

MSXAX Performance	YTD	1 Yr.	3 Yr.	5 Yr.	10 Yr.
Fund	13.81	18.00	20.06	15.16	7.33
S&P 500 TR USD	14.45	18.67	20.76	15.83	7.95
+/- S&P 500 TR USD	-0.64	-0.67	-0.70	-0.67	-0.61

As you would expect, the MSXAX trails its benchmark by the margin of its expense ratio (60 basis points). Now, why would you invest in this fund, when you can invest in a tax-efficient ETF index for essentially nothing? We can't really think of a good reason. In fact, we can't think of a reason why this fund should even exist—but *the fund manages over \$2 billion!* It